CHAPTER 1

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INTRODUCTION

In today's era, environmental consciousness increasingly shapes consumer choices and investment decisions. Corporations worldwide have strategically positioned themselves as champions of sustainability. From carbon-neutral products to eco-friendly packaging, environmental claims have become central to corporate branding. However, beneath the glossy sustainability reports and green marketing campaigns, lies a troubling reality. Many businesses engage in greenwashing, making misleading or unsubstantiated environmental claims to appear more environmentally responsible than they actually are.

The term "greenwashing" was first coined by environmentalist Jay Westerveld in 1986, when he observed that hotels were promoting towel reuse as an environmental initiative, when the real motivation was to reduce costs.[11] Today, greenwashing includes wide-ranging phenomenon such as misleading eco-labelling, selective disclosures in sustainability reports, deceptive carbon offset claims and unverifiable net-zero commitments. It is no longer merely an ethical concern but a systemic issue with far-reaching legal, economic and environmental consequences. Consequences of greenwashing include not just erosion of consumer trust but distortion of capital flow in financial markets, undermining of genuine sustainability efforts and delaying of meaningful climate action.

As the world's fourth-largest economy, India has set major climate goals, including net-zero carbon emissions by 2070. This makes it a crucial moment for balancing growth with environmental responsibility. As sustainability becomes a strong market signal, companies across sectors increasingly use green claims to attract investors, consumers and public trust. From biodegradable packaging and electric vehicles to carbon-neutral energy and green bonds, environmental messaging is now everywhere.

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[11] Karen Becker-Olsen & Sean Potucek, *Greenwashing*, in *Encyclopedia of Corporate Social Responsibility* 1318 (Samuel O. Idowu et al. eds., 2013).

However, the critical question remains. Are these claims substantiated? or do they just represent sophisticated greenwashing designed to capitalize on growing environmental awareness without corresponding action?

The available evidence of greenwashing underscores the scale of the problem in India. In its 2024-25 Annual Complaints Report, Advertising Standard Council of India (ASCI) investigated 211 advertisements for potentially false or exaggerated environmental claims and found that every single one required modification for lacking supporting evidence, a 100% failure rate that constitutes official confirmation of systemic consumer deception through green marketing.[12]

Beyond the consumer sphere, in the investor facing domain, peer-reviewed research shows that the greenwashing pattern runs equally deep in corporate disclosures. A study of NSE-listed companies found that 54% engaged in greenwashing, with manufacturing and energy sectors particularly susceptible;[13] and a more recent research on NIFTY 50 companies placed the figure at 47%, confirming a persistent structural pattern among India's largest listed firms.[14] A CRISIL analysis found that nearly 80% of 586 companies analyzed, scored below average or weak on ESG parameters.[15] The financial magnitude at stake makes these findings especially alarming. India's ESG fund assets under management surged from US$ 331 million in 2020 to US$ 1.2 billion by March 2024, while cumulative green, social and sustainability-linked debt reached US$ 55.9 billion by December 2024, a 186%

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[12] Advert. Standards Council of India, *Annual Complaints Report 2024-25* (2025), https://www.ascionline.in/wp-content/uploads/2025/05/Digital-ASCI-Annual-Complaints-Report-2024-2025.pdf (last visited Jul. 11, 2025).

[13] Sushobhan Sensharma, Manish Sinha & Dipasha Sharma, *Do Indian Firms Engage in Greenwashing? Evidence from Indian Firms*, 16 Australasian Acct. Bus. & Fin. J. 67 (2022).

[14] Mithilesh Gidage, Shilpa Bhide & Deep Joshi, *Greenwashing in the Indian Corporate Landscape: An Empirical Assessment of ESG Disclosures of NIFTY 50 Companies*, 27 Env't Dev. & Sustainability 21861 (2024), https://doi.org/10.1007/s10668-024-05191-3.

[15] CRISIL Research, *ESG Compendium: India Inc's ESG Scorecard* (2022) (analysing 586 Indian companies and finding that nearly 80% rated 'weak', 'below average', or 'adequate' on ESG parameters); *see also* India Brand Equity Foundation (IBEF), *India's ESG Landscape: Growth, Trends, and Regulatory Framework* (2024) (reporting ESG fund AUM growth from US$ 331.4 million in January 2020 to US$ 1,176.6 million by March 2024).

increase since 2021. This makes India the fourth-largest emerging market source of sustainable debt globally.[16] A research study by the RBI notes that Indian ESG leaders command a return premium exceeding 4 percentage points above market predictions.[17] If these premiums rest on misleading claims, then greenwashing is not merely a reputational concern but a mechanism for extracting unearned value from capital markets at scale.

In the broader environmental domain, the situation is equally stark. In 2024, CPCB uncovered approximately 600,000 fake Extended Producer Responsibility certificates and NGT took suo moto cognizance of it. These statistics reveal that the verification deficit of environmental claims extends into the very infrastructure of environmental compliance itself.[18]

But despite this, there lies a huge deficit of enforcement against these wrongdoings. India has the laws on paper, but virtually no record of enforcing them against greenwashing. As of early 2026, neither SEBI, nor the CCPA, nor the Ministry of Corporate Affairs has imposed a single significant financial penalty specifically for misleading environmental claims. No director has been prosecuted under Section 166(2) of the Companies Act for environmental misrepresentation.

Compare this with what is happening elsewhere. In Australia, the securities regulator ASIC made 47 greenwashing-related regulatory interventions in just 15 months

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[16] Climate Bonds Initiative & MUFG Bank, *India Sustainable Debt State of the Market 2024* (2024) (reporting cumulative aligned GSS+ debt of US$ 55.9 billion by December 2024, a 186% increase since 2021, with green bonds accounting for 83% of total aligned issuance); *see also* India Brand Equity Foundation (IBEF), *India's ESG Landscape: Growth, Trends, and Regulatory Framework* (2024) (reporting ESG fund AUM growth from US$ 331.4 million in January 2020 to US$ 1,176.6 million by March 2024).

[17] Reserve Bank of India, *ESG Investing and Stock Returns: A Cross-Country Study*, RBI Bulletin (Feb. 2023) (finding that Indian domestic firms with an ESG focus outperformed global peers, with compounded annual returns more than 4 percentage points higher than predicted by the market model); *see also* Equirus Capital, *ESG Premium in Indian M&A Transactions* (2025) (reporting that M&A transactions with strong ESG credentials commanded a premium of 10–15% compared to deals without ESG integration).

[18] *NGT Issues Notice to CPCB, MoEFCC Over Recovery of 6 Lakh Fake EPR Certificates*, SCC Online Blog (July 31, 2024), https://blog.scconline.gen.in/post/2024/07/31/ngt-issues-notice-cpcb-moefcc-recovery-of-6-lakh-fake-epr-certificates-from-plastic-recycling-companies (last visited Dec. 7, 2024).

ending June 2024 and secured an AUD 11.3 million penalty against Mercer Superannuation for misleading ESG fund disclosures. In the United Kingdom, the Competition and Markets Authority imposes fines of up to 10% of global turnover for greenwashing misconduct. In the European Union, France's competition authority alone issued 141 warnings and 114 injunctions for misleading environmental claims. And the EU's Consumer Protection Cooperation Network launched coordinated investigations into 20 airlines for unsubstantiated green claims in 2024 alone. Even the United States Federal Trade Commission brought over 90 greenwashing enforcement actions between 2021 and 2023, including multi-million-dollar settlements against Walmart and Kohl's for falsely marketing rayon products as eco-friendly.[19]

The contrast is difficult to ignore: India's regulators have the statutory tools, but the enforcement cupboard remains empty.

Recent constitutional and judicial developments in India have raised the standard for corporate environmental accountability. In *M.K. Ranjitsinh & Ors. v. Union of India & Ors.* (2024), the Supreme Court said that directors must protect company interests while also safeguarding the environment, supporting a stronger reading of their duty under Section 166(2) of the Companies Act, 2013.[20] Global comparative trends point in the same direction: greenwashing is no longer treated only as a consumer-law issue

[19] *See* Australian Securities & Investments Commission, Media Release No. 24-198MR, *ASIC Continues to Crack Down on Greenwashing* (Sept. 2024) (reporting 47 greenwashing-related regulatory interventions in the 15-month period ending June 2024, including corrective disclosure outcomes, infringement notices, and the AUD 11.3 million Federal Court penalty against Mercer Superannuation for misleading ESG fund representations); *see also* Digital Markets, Competition and Consumers Act 2024, § 234 (UK) (empowering the CMA to impose fines of up to 10% of global turnover for breaches of consumer protection law, including greenwashing); *see also* Direction Générale de la Concurrence, de la Consommation et de la Répression des Fraudes (DGCCRF), *Bilan d'Activité 2023* (France) (documenting 141 warnings and 114 injunctions for misleading environmental claims); *see also* Consumer Protection Cooperation Network, *Airlines Sweep 2024* (investigating 20 airlines across the EU/EEA for unsubstantiated green claims); *see also* Federal Trade Commission, *FTC Actions Against Companies Making Environmental Marketing Claims* (2021-2023) (citing over 90 enforcement actions, including the USD 5.5 million combined settlement with Walmart Inc. and Kohl's Inc. for falsely marketing rayon textile products as bamboo-based and eco-friendly).

[20] *M.K. Ranjitsinh & Ors. v. Union of India & Ors.*, 2024 SCC OnLine SC 1259 (India) (recognizing a fundamental right to be free from the adverse effects of climate change under Articles 14 and 21 of the Constitution of India and emphasizing the dual responsibility of company directors to safeguard company interests while ensuring environmental protection).

after the harm is done, but increasingly as a board-level accountability issue that must be checked before misleading claims reach the public.

It is within this evolving regulatory and constitutional landscape that this research examines the legal framework governing corporate responsibility in India, with specific focus on greenwashing. The study assesses whether existing laws adequately prevent misleading environmental claims and whether enforcement mechanisms effectively hold corporations accountable. It also undertakes a comprehensive comparative analysis of global approaches and draws best practices from them.

This study contributes towards the development of a transparent and accountable corporate sustainability ecosystem in India. One in which environmental claims are not merely marketing tools, but legally meaningful representations capable of verification and enforcement.

1.1 STATEMENT OF PROBLEM

Greenwashing is not limited to misleading product labels or deceptive advertisements. It also appears in corporate sustainability reports, ESG disclosures, boardroom strategies and long-term climate commitments. In other words, the problem extends beyond marketing and into corporate governance and regulatory compliance.

The legal problem is multi-dimensional. When one examines the statutory enforcement against constitutional principles, one sees a widening gap. In *M.K. Ranjitsinh & Ors. v. Union of India & Ors.* (2024), the Supreme Court recognised a fundamental right to be free from the adverse effects of climate change. This decision strengthens the constitutional basis for environmental accountability. Similarly, in *Indian Medical Association & Anr. v. Union of India & Ors.* (WP(C) No. 645/2022), the Supreme Court mandated that all advertisers submit a Self-Declaration Certificate (SDC) before publishing any advertisement, certifying that it does not contain misleading claims. However, within weeks, the Ministry of Information and Broadcasting narrowed this requirement and the mandate created by the apex court still remains under-enforced.

Coming to the overall regulatory ecosystem for greenwashing, the current regulation treats greenwashing as a problem of misleading advertising. The Guidelines for Prevention and Regulation of Greenwashing (October 2024) issued by the Central Consumer Protection Authority (CCPA) focus on false or exaggerated environmental claims made to consumers. This focus is understandable because the CCPA's mandate is consumer protection. However, such an approach addresses only the misleading statement itself, not the internal governance structures, decision-making processes, or board-level strategies that may produce those misleading claims. Moving to the corporate governance landscape, Section 166(2) of the Companies Act, 2013 sets a duty upon directors to act in the interests of environmental protection. Despite this, there are zero reported director prosecutions for environmental claims misrepresentation. In addition, SEBI's Business Responsibility and Sustainability Reporting (BRSR) framework mandates sustainability-related disclosures by listed companies. Despite this, companies may technically comply with reporting requirements while still engaging in misleading sustainability signalling. This is because most ESG claims do not require mandatory reasonable assurance and penalties are relatively weak. As a result, formal compliance does not always translate into substantive environmental responsibility.

1.2 RESEARCH OBJECTIVES

The primary aim of this research is to analyse the phenomenon of greenwashing within the framework of corporate accountability and to propose an integrated legal liability framework to curb misleading environmental claims.

- To conceptualise greenwashing, examining its historical evolution, typologies and socio-economic, environmental and legal consequences.
- To critically analyse why consumer protection and advertising law approaches are inherently insufficient to address greenwashing, establishing the case for legal intervention through corporate governance laws.
- To establish the jurisprudential foundations of corporate responsibility that support accountability for environmental claims, by applying theoretical

frameworks including Hohfeldian analysis and corporate environmental constitutionalism.

- To study how directors' duties, corporate disclosure obligations and assurance requirements under Indian company law and securities law, can be used to address misleading environmental claims.
- To assess international legal and regulatory approaches to greenwashing in order to identify best practices and key differences across jurisdictions.
- To examine how fragmentation, overlap, weak coordination and limited enforcement within India's regulatory system affect accountability for greenwashing.
- To propose comprehensive suggestions for harmonising laws and establishing an integrated liability framework that holds corporations accountable for misleading environmental claims.

1.3 LITERATURE REVIEW

1.3.1 BOOKS

1. Agostino Vollero, Greenwashing: Foundations and Emerging Research on Corporate Sustainability and Deceptive Communication (2022)

Vollero's systematic literature review provides comprehensive empirical analysis of definitional fragmentation in greenwashing scholarship. This work demonstrates the lack of definitional consensus, with 14 distinct definitions identified. The research draws upon Vollero's identification of six theoretical approaches and five emerging themes including regulatory standardization, technological innovations for transparency, ESG criteria, NGO monitoring and industry-specific case studies. This work provides empirical evidence that greenwashing's complexity extends beyond marketing malpractice into multidimensional governance challenges requiring sophisticated legal responses.

2. Frances Bowen, After Greenwashing: Symbolic Corporate Environmentalism and Society (2014)

Bowen's work provides definitive analysis of symbolic corporate environmentalism, establishing greenwashing as systemic governance failure rather than isolated marketing transgressions. This book serves as the primary theoretical reference for greenwashing as a subset of symbolic environmentalism characterized by strategic deployment of green buildings, eco-labels and sustainability reports while decoupling stated goals from actual activities. The research draws upon Bowen's "social energy penalty" concept, quantifying the cost when corporate actors limit public discourse through symbolic actions conferring legitimacy without substantive improvements. This framework demonstrates how corporations manipulate external impressions by decoupling operations from communications. By establishing that symbolic environmentalism creates hidden societal costs beyond consumer harm, Bowen's work repositions greenwashing from a consumer protection issue into a governance pathology requiring structural legal remedies.

3. Toby Miller, Greenwashing Culture (2017)

Miller's examination expands greenwashing discourse beyond corporate actors to encompass cultural institutions, universities and broader cultural production systems. In Chapter 2, this work establishes that greenwashing extends to governments, research institutions and NGOs and examines greenwashing in academic environments. Miller demonstrates how universities and cultural institutions, such as museums accepting oil and gas sponsorships, contribute to environmental crises by enabling "environmental criminals" to gain social legitimacy. This institutional critique reveals that greenwashing operates through complex systems of cultural capital and institutional validation beyond direct corporate marketing. Miller's work reinforces that effective legal interventions must address systemic rather than individual instances, supporting the thesis's call for governance-level reforms recognizing the multidimensional nature of environmental misrepresentation.

4. John Pabon, The Great Greenwashing: How Brands, Governments and Influencers Are Lying to You (2023)

Pabon’s contemporary analysis provides empirical evidence of greenwashing’s post-COVID evolution, documenting its expansion beyond corporate actors to encompass nation-states, sporting events, celebrities and social media influencers. This work demonstrates how digital platforms have created new vectors for environmental misrepresentation that existing regulatory frameworks struggle to address. Pabon reveals greenwashing’s evolution from passive exaggeration to active sabotage, with fossil fuel industry funding of climate-denying organizations exemplifying this pattern. By documenting state-sponsored greenwashing, Pabon’s work reinforces that legal accountability mechanisms must evolve beyond consumer protection to address high-level institutional greenwashing operating through sophisticated public relations strategies.

5. Lucia Gatti, Ludovico Giacomo Conti & Peter Seele, A Comprehensive Guide to Greenwashing Phenomena, Contexts and Trends: The Mean, Lean Washing Machine (2025)

This work demonstrates the sophistication and diversity of environmental misrepresentation techniques emerging in the 2020s. The research draws upon Gatti, Conti and Seele’s identification of novel variants including blockchainwashing, ethicswashing, poorwashing, pinkwashing, wokewashing and the critical concept of “greenlash”, societal backlash driven by skepticism from repeated exposure to deceptive communications. This taxonomy empirically demonstrates that greenwashing has evolved beyond the TerraChoice “Seven Sins” into a multifaceted ecosystem requiring sophisticated legal responses. By situating greenwashing within organizational failures to meet ethical commitments, this work reinforces that greenwashing represents a fundamental governance crisis with far-reaching implications. The work supports the thesis’s call for comprehensive governance reforms rather than incremental consumer protection measures.

6. Ian Anders Gadd & Patrick Wallis, eds., Guilds, Society and Economy in London, 1450-1800 (2002)

This edited volume documents how medieval London guilds operated as proto-corporate entities balancing commercial interests with social obligations. In Chapter

3, this work establishes that corporate privilege has historically been linked to social purpose, showing how guilds regulated markets and maintained quality standards while justifying their monopolies through charitable contributions, pensions and social assistance. This demonstrates that corporate social responsibility expectations predate modern incorporation laws and were only temporarily disrupted in the 19th century, establishing that contemporary demands for corporate environmental accountability, including greenwashing prevention, restore longstanding societal expectations rather than impose novel constraints on business.

7. William A. Pettigrew & David C. Smith, eds., A History of Socially Responsible Business, c.1600-1950 (2017)

This historical anthology establishes corporate social responsibility's evolution from 1600-1950, providing evidence that corporations were historically conceived as "instinctively and inherently social entities". Wagner's analysis shows how the state granted monopolies in exchange for furthering government policies, while Smith's examination reveals that early chartered companies were expected to provide public goods including employment, housing, medical and educational services. These insights support the thesis's argument that corporate environmental accountability is not merely moral expectation but legal obligation rooted in the social contract justifying corporate privileges, strengthening the foundation for holding corporations legally accountable for greenwashing as a breach of their foundational duties to society.

8. Frederic William Maitland, ed., Otto Gierke's Political Theories of the Middle Age (1900)

Maitland's introduction to Gierke's realist theory provides the philosophical foundation for understanding corporations as autonomous legal entities with real capacity for rights and obligations rather than mere legal fictions. This work establishes the Realist Theory of corporate personality, asserting that corporations are real social units with their own existence, independent will and inherent power of action. This framework is crucial because it establishes that corporations, as autonomous legal persons, bear their own duties and are subject to environmental law.

By grounding corporate personality in realist theory, the research creates a stronger jurisprudential basis for imposing legal liability for greenwashing as a breach of duty by the corporate entity itself, supporting broader accountability mechanisms.

9. R. Edward Freeman, Strategic Management: A Stakeholder Approach (1984); R. Edward Freeman et al., Stakeholder Theory: The State of the Art (2010)

Freeman's works provide the theoretical architecture for stakeholder theory, central to the thesis's argument that corporations must be accountable to multiple constituencies beyond shareholders. Freeman's definition of stakeholders as "any group or individual who is affected by or can affect the achievement of an organization's objectives" establishes a framework integrating economic, political and moral concerns, viewing ESG considerations as fundamental components of business success rather than separate moral constraints. This approach justifies why corporations owe duties to environmental stakeholders when making environmental claims. By positioning stakeholder theory as a comprehensive business strategy framework, the research demonstrates that preventing greenwashing through enhanced governance is both legally justified and strategically sound.

10. Matthew H. Kramer, Rights and Right-Holding: A Philosophical Investigation (2024)

Kramer's investigation provides the analytical framework for decomposing complex corporate responsibility concepts into fundamental legal components. This work supports applying Hohfeld's eight legal conceptions (Right, Duty, Privilege, No-Right, Power, Liability, Immunity and Disability) to corporate environmental accountability and greenwashing. The research moves beyond abstract debates about "corporate purpose" into precise legal relations between specific parties. This precision allows identification of where legal duties exist regarding environmental claims, who holds correlative rights and the scope of managerial privilege. The Hohfeldian framework demonstrates that greenwashing represents a violation of specific legal relationships, providing rigorous foundation for corporate governance reforms to enhance accountability.

11. Howard R. Bowen, Social Responsibilities of the Businessman (1953)

Bowen's classic work is pivotal to the thesis's historical account of corporate social responsibility in Chapter 3. By defining social responsibility as the obligation of businessmen to pursue policies desirable in terms of societal objectives and values, Bowen provides the bridge between older public-purpose conceptions of the corporation and modern environmental accountability. This work is important because the thesis does not treat Section 166(2) of the Companies Act as a novel external imposition on business, but as part of a longer tradition of corporate obligations to society. Bowen therefore strengthens the argument that greenwashing is not merely bad marketing, but a breach of the social responsibilities historically attached to corporate privilege.

12. Kun-Mo Lee & Haruo Uehara, Best Practices of ISO 14021: Self-Declared Environmental Claims (2003)

This work provides technical benchmarks for evaluating corporate environmental communications against international standards. The research examines ISO 14021's requirements for accuracy, substantiation and verification to analyze the intersection of voluntary standards and mandatory regulation. Lee and Uehara's findings on the limitations of voluntary self-declared claims support the thesis's argument that effective greenwashing prevention requires mandatory regulatory frameworks codifying best practices into enforceable legal obligations.

1.3.2 REPORTS

1. Parliamentary Standing Committee on Finance, *Tenth Report on MCA Demands for Grants (2025-26)* (2025) provides authoritative governmental recognition that India's ESG framework "lacked empirical substantiation" to mitigate deceptive claims. Five principal recommendations: dedicated ESG oversight body; amending Companies Act to incorporate ESG into Section 166 fiduciary duties with turnover-based penalties and criminal sanctions; sector-specific guidelines; MSME support; and mandatory ESG reporting chapters. MCA rejected recommendations claiming ESG is already "embedded", a position the Committee condemned as "fundamentally defensive" and "mere recapitulation of the status quo". This parliamentary-executive conflict exemplifies regulatory capture through bureaucratic inertia. As of January 2026, no implementing action has occurred, underscoring that institutional recognition alone is insufficient without political will to overcome corporate lobbying against enhanced accountability.

2. Advertising Standards Council of India (ASCI), ***Annual Complaints Report 2024-25*** **(2024)** documents that ASCI investigated 211 advertisements for potentially making false or exaggerated environmental claims and it found that 100% of these ads required modification as they lacked the evidence to back up their green claims.

3. U.N. High-Level Expert Group, ***Integrity Matters: Net Zero Commitments by Non-State Entities*** **(2022)** establishes ten recommendations preventing "net-zero greenwashing" with zero tolerance for pledges lacking interim targets or relying on cheap offsets. Requirements include specific interim targets (2025, 2030, 2035), full value chain coverage (Scope 1-3), limits on carbon credits to "beyond value chain" mitigation, publicly disclosed transition plans with third-party verification and lobbying alignment. By prohibiting offsetting as substitute for absolute reductions, it addresses "futurewashing", validating that governance mechanisms must enforce alignment between commitments and operational reality. Chapter 4 demonstrates HLEG's influence on EU and UK mandatory standards.

4. International Organization of Securities Commissions (IOSCO), ***Final Report on Supervisory Practices to Address Greenwashing*** **(2023)** provides the most comprehensive multilateral survey of how securities regulators are defining, supervising and enforcing against greenwashing in capital markets. The report is especially useful because it documents the wide range of supervisory tools already in use across jurisdictions, identifies the absence of a globally accepted definition of greenwashing and endorses the ISSB's IFRS S1 and S2 standards as an emerging point of convergence. It therefore supports the thesis's comparative claim that misleading environmental disclosures are increasingly treated as a securities-governance problem rather than merely a consumer-advertising issue.

5. Organisation for Economic Co-operation and Development, ***OECD Regulatory Enforcement and Inspections Toolkit*** **(2018)** provides a governance-oriented enforcement framework centred on strategic targeting, risk-based inspection, institutional coordination and evidence-led regulatory design. Its usefulness lies in supplying a general regulatory benchmark for evaluating whether anti-greenwashing systems are capable of moving beyond complaint-driven, reactive enforcement. The toolkit strengthens the thesis's argument that effective control of greenwashing requires coordinated institutional architecture and verification capacity, not just substantive prohibitions on misleading claims.

6. Organisation for Economic Co-operation and Development, *OECD Regulatory Policy Outlook 2025* (2025) is useful for its emphasis on the "cooperation and capacity of regulatory institutions" and on the shift from reactive enforcement to proactive, risk-based supervision. In the context of this thesis, the report helps frame greenwashing prevention as a problem of regulatory design and institutional capability. It supports the comparative conclusion that jurisdictions are more effective when they build ex ante verification and coordinated supervision into their systems, rather than relying only on post-hoc penalties after misleading claims have already entered the market.

7. ISO 14021 & APEC, *Best Practices of ISO 14021: Self Declared Environmental Claims* (2003) mandate that environmental claims be specific, scientifically sound and life-cycle considered, prohibiting vague terms like "eco-friendly". The critical "verification gap": Type II claims are self-verified, not third-party certified. The APEC report shows 53% of EU green claims were vague or unfounded before legislative intervention, empirical validation that voluntary self-regulatory frameworks systematically fail. This supports that closing the accountability gap requires moving from voluntary guidance to mandatory governance-level enforcement with director liability.

8. United Nations, *Net Zero Report and Science Based Targets Initiative (SBTi) Guidelines* establish best practice standards for evaluating corporate net-zero commitments, illustrating the gap between credible pledges and "futurewashing". These frameworks demonstrate that environmental claims require rigorous science-based validation rather than self-reported aspirations.

9. European Securities and Markets Authority (ESMA), ***Guidelines on ESG and Sustainability-Related Terms*** **(2024)** define greenwashing as sustainability statements that don't reflect underlying profiles and mislead markets. ESMA recommends standardization and machine-readability of disclosures, enhanced supervision and integration of greenwashing risks into monitoring frameworks. This validates critique of voluntary self-regulation while evidencing institutional momentum toward mandatory governance-based interventions.

10. TerraChoice, ***Seven Sins of Greenwashing*** **(2007-2010)** provide the foundational empirical taxonomy, documenting that 95% of "green" products exhibited greenwashing characteristics. The Seven Sins, hidden trade-off, fibbing, no proof, vagueness, irrelevance, lesser of two evils and worshipping false labels, remain the most recognized classification system. This validates greenwashing's pervasiveness and demonstrates that consumer protection mechanisms have proven insufficient despite decades of documented abuse.

11. Zero Carbon Analytics, ***How to Spot Greenwashing in a Sustainability Report*** **(2025)** illustrates sophisticated techniques companies employ to obscure environmental impact through selective disclosure and incomplete Scope 3 reporting (up to 90% of emissions). This shows greenwashing has evolved into complex ESG disclosure manipulation requiring specialized expertise to detect.

12. Charles Russell Speechlys, ***Anti-greenwashing in the UK, EU and the US: Outlook for 2025*** **(2025)** highlights cross-jurisdictional compliance challenges and accelerating momentum toward enhanced disclosure requirements. This validates global trends toward mandatory accountability mechanisms and increasing penalties for misleading climate communications.

13. Simkin & Falk, ***Greenwashing Legislation Trends: Key Takeaways for Businesses*** **(2025)** identifies common patterns across jurisdictions: mandatory disclosure and enhanced enforcement. This demonstrates global convergence toward governance-based approaches requiring corporate accountability for environmental communications.

14. Marta Torres Gunfaus et al., ***Paris+10 Diagnosis: Looking Back to Look Forward*** **(2025)** documents legal actions against companies like TotalEnergies for climate marketing claims, demonstrating growing accountability pressure to align communications with Paris Agreement commitments. This supports enhanced governance intervention.

15. European Commission, ***Study on Substantiating Green Claims*** **(2020)** provides empirical evidence of reactive consumer law enforcement and evidentiary challenges in proving greenwashing. Findings on burden of proof, information asymmetries and enforcement gaps support that greenwashing requires ex ante governance mechanisms rather than ex post consumer remedies.

16. Corporate Climate Responsibility Monitor, ***Annual Report*** **(2024)** provides empirical evidence of the rhetoric-action gap central to decoupling theory. This third-party verification mechanism emerged because voluntary corporate disclosure proved unreliable, supporting mandatory governance-level accountability.

1.3.3 RESEARCH PAPERS AND ARTICLES

1. A. Wren Montgomery, Thomas P. Lyon & Julian Barg, ***No End in Sight? A Greenwash Review and Research Agenda*****, 37 Org. & Env't 221 (2024)**

This review categorizes greenwashing into three phases: 1.0 (static advertising), 2.0 (stakeholder manipulation through lobbying) and 3.0 ("futurewashing" with unaccountable climate pledges). Their finding that greenwashing is "more virulent than ever" with "aggregate confusion" in ESG metrics justifies Chapter 2's call for governance-level interventions like director accountability over consumer protection approaches.

2. Tom Calamai et al., ***Corporate Greenwashing Detection in Text: A Survey*** **(2025)**

This survey details textual strategies obscuring environmental performance through "fuzzy reporting" and "cheap talk". Their taxonomy, comprising dirty business, fuzzy reporting and executional greenwashing, forms the chapter's typological foundation. Crucially, TCFD frameworks don't guarantee transparency, framing greenwashing as a governance failure requiring mandatory disclosure and verification over consumer education.

3. Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR* (2016)

Kubiak traces greenwashing to Westerveld's 1986 essay, examining how companies exploit semantic ambiguity through terms like "eco-friendly" without substantive action. Even informed consumers struggle with verification due to technical complexity. By showing individual purchasing cannot discipline misrepresentation, this supports governance-level interventions over consumer education.

4. Sebastião Vieira de Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 1 (2020)

This systematic review documents sevenfold increase in greenwashing news coverage, expanding the concept to include crosswashing, greenhushing, brownwashing and futurewashing. Crucially, "executional greenwashing" uses nature-evoking imagery to bypass false advertising standards. This supports multi-dimensional legal responses integrating consumer protection, securities regulation and corporate governance.

5. Silvia Ruiz-Blanco, Silvia Romero & Belen Fernandez-Feijoo, *Green, Blue or Black, but Washing – What Company Characteristics Determine Greenwashing?*, 24 Env't Dev. & Sustainability 4024 (2022)

This empirical analysis establishes greenwashing as "decoupling" operations from public facade, a predictable organizational response to institutional pressures with weak accountability. Identifying company characteristics that correlate with greenwashing proves it stems from structural incentives rather than individual ethics, supporting governance reforms targeting disclosure requirements and director liability.

6. Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 Org. & Env't 223 (2015)

Lyon and Montgomery define greenwashing as communication creating "overly positive perceptions" of environmental performance. Their taxonomy, which includes selective disclosure, dubious certifications and evocative imagery, structures the chapter's analysis. "Aggregate confusion" from divergent sustainability metrics obscures genuine performance, supporting regulatory harmonization. This reinforces governance interventions over consumer protection relying on proving explicit falsehoods.

7. Frances Bowen & J. Alberto Aragon-Correa, *Greenwashing in Corporate Environmentalism Research and Practice: The Importance of What We Say and Do*, 27 Org. & Env't 107 (2014)

Bowen and Aragon-Correa frame greenwashing as "symbolic corporate environmentalism" lacking operational transformation. "Strategic decoupling" maintains public commitments while undermining them through resource allocation. Critically, political lobbying while projecting green images constitutes greenwashing. This supports viewing it as governance failure requiring legal intervention in corporate decision-making over improved consumer literacy.

8. Magali A. Delmas & Vanessa Cuerel Burbano, *The Drivers of Greenwashing*, 54 Cal. Mgmt. Rev. 64 (2011)

Delmas and Burbano identify a paradox: high sustainability demand intensifies greenwashing by incentivizing appearance over action. Weak enforcement and unstandardized regulations enable misrepresentation. Their "brownwashing" concept shows firms under-report genuine achievements due to stigmatization. This supports greenwashing as structural failure requiring mandatory reporting and director liability beyond consumer remedies.

9. Thomas P. Lyon & John W. Maxwell, *Greenwash: Corporate Environmental Disclosure*, 20 J. Econ. & Mgmt. Strategy 3 (2011)

This article is one of the most important disclosure-focused works underlying the thesis. Lyon and Maxwell explain greenwash as a strategic response to political and market pressures, showing why firms may selectively disclose environmental information or overstate performance when verification is weak. The article is especially relevant to the thesis's shift from consumer deception toward investor-facing and governance-based analysis, because it frames greenwashing as a corporate disclosure problem rooted in information asymmetry, incentives and regulatory design. It therefore supports the thesis's case that anti-greenwashing law must operate upstream through governance and reporting controls rather than only downstream through advertising remedies.

10. Leonardo Davoudi, Christopher McKenna & Rowena Olegario, *The Historical Role of the Corporation in Society*, 6 J. British Acad. 17 (2018)

Davoudi et al. establish corporate social responsibility as historical restoration, not innovation. From Ancient Rome through medieval guilds, legal personhood required public benefit. The 19th century liberalization severing this link created aberrations enabling accountability gaps. Early corporations as "inherently social entities" supports environmental accountability as historical continuity, not regulatory overreach.

11. Andrew Halpin, *Fundamental Legal Conceptions Reconsidered*, 16 Can. J. L. & Juris. 41 (2003)

Halpin's Hohfeldian analysis decomposes corporate responsibility into precise legal relations using eight fundamental categories. This demonstrates greenwashing violates identifiable legal duties with correlative stakeholder rights, not just ethical norms. Managerial privilege exists within structured relations; enhanced accountability clarifies privilege doesn't extend to misleading communications.

12. Roberto Tallarita, *Hohfeld in the Boardroom*, SSRN Electronic Journal (2025)

Tallarita applies Hohfeldian analysis to translate abstract duties into concrete director obligations, clarifying managerial privilege limits in environmental decision-making. This informs analysis of Companies Act fiduciary duties, decomposing them into specific obligations. Preventing greenwashing requires clarifying existing legal relations, not revolutionary changes.

13. Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 Yale L.J. 16 (1913)

Hohfeld's foundational article supplies the original analytic vocabulary that Chapter 3 repeatedly uses to decompose corporate responsibility into claim-right, duty, privilege, no-right, power, liability, immunity and disability. Its importance is not merely historical. The thesis's central jurisprudential move, translating broad claims about corporate purpose into precise legal relations, depends on Hohfeld's original framework. Including Hohfeld clarifies that the thesis's governance model rests on a primary jurisprudential source, rather than only later commentary on Hohfeldian analysis.

14. Lucia Gatti, Peter Seele & Lars Rademacher, *Grey Zone in, Greenwash out. A Review of Greenwashing Research and Implications for the Voluntary-Mandatory Transition of CSR*, 4 Int'l J. Corp. Soc. Resp. 6 (2019)

This article is central because it bridges early greenwashing scholarship and the later turn toward mandatory governance-based controls. Gatti, Seele and Rademacher review the field's development and show how voluntary CSR narratives and soft self-regulation leave a persistent "grey zone" that allows misleading environmental claims to flourish. Their analysis directly supports the thesis's argument that the verification gap cannot be closed through voluntary signaling alone and that the law must move toward mandatory substantiation, assurance and accountability mechanisms. It also complements Chapter 2's treatment of symbolic environmentalism by showing why regulatory transition becomes necessary once voluntary disclosure loses credibility.

15. Giuseppe Labbozzetta, *The Era of Environmental Transparency: Comparative Analysis of Green Claims/Greenwashing Regulations*, INT'L IN-HOUSE COUNS. J. (Sept. 2025)

Labbozzetta compares greenwashing regulations across EU, UK and US, examining CSRD, Green Claims Directive, FCA rules and SEC proposals. European jurisdictions adopt mandatory disclosure and verification while US approaches remain fragmented. This comparative framework identifies best practices and gaps, informing recommendations for India's framework.

1.4 RESEARCH GAP

The existing literature doesn't directly or specifically cover the topic of the research, as the legal framework is still being developed. The existing scholarship recognises Greenwashing as an independent advertising wrong, disconnected from the corporate governance model and regime. The topic has an evolving jurisprudence in the nation at this stage. The study has developed a jurisprudential basis for treating this problem at the upstream level, by analyzing the law and suggesting structural changes needed to put a preventive functioning system in place. Curbing greenwashing from the place of corporate accountability before it seeps down to end-consumers, would constitute a comprehensive check on this malice of greenwashing.

The stakes for curbing Greenwashing are too high and its consequences are widely studied in existing scholaship. But the governance-oriented analysis that connects directors' duties, securities disclosure, regulatory coordination and verification infrastructure into a unified accountability analysis, remains largely unaddressed. This is not to suggest that prior scholarship has overlooked this problem entirely, but rather that the particular intersection at which this study is situated, treating greenwashing as a systemic corporate accountability failure amenable to governance-level legal intervention, has yet to receive the focused and integrated doctrinal treatment it warrants.

Within the Indian context specifically, while the CCPA's 2024 Guidelines have clarified the definition of greenwashing and established a consumer-facing enforcement pathway, the broader question of whether greenwashing is fundamentally a corporate accountability failure remains under-examined. The gap, therefore, is not the absence of rules but the absence of an integrated analysis of how those rules translate into enforceable responsibility. Five connected dimensions define this gap:

First, there is limited doctrinal work on board-level accountability for environmental claims. Section 166(2) of the Companies Act, 2013 creates a statutory expectation that directors will "protect the environment", yet its practical invocation for greenwashing-type conduct, namely misleading sustainability claims in annual reports, ESG disclosures, or corporate communications, remains under-theorised.

Second, the regulatory fragmentation problem has not been sufficiently examined as a structural cause of greenwashing. Environmental claims are policed through overlapping but siloed regimes (corporate governance (MCA/Companies Act), securities disclosure (SEBI's BRSR/BRSR Core) and consumer protection/advertising (CCPA/ASCI)), creating coordination problems, jurisdictional uncertainty and enforcement gaps that allow companies to comply with disclosure form while avoiding substantive responsibility.

Third, the "verification gap" in India's sustainability communications ecosystem remains inadequately analysed. The transition from voluntary CSR signalling to mandatory ESG disclosure has not automatically produced reliable substantiation: assurance models (limited versus reasonable assurance), third-party verification expectations and the evidentiary burden for proving claims misleading remain insufficiently mapped across the relevant legal regimes.

Fourth, scholarship has only partially engaged with the evolving morphology of greenwashing. Product-level claims now coexist with corporate-level narratives and long-horizon climate pledges ("net-zero" or "carbon neutral") that enable "futurewashing" through extended timelines, including India's 2070 target. Closely related is carbon-offset-based greenwashing, involving claims of neutrality through offsets without meaningful emission reductions, which is addressed only indirectly in the current framework.

Fifth, the available discussion of enforcement remains thin. There is no consolidated analysis of how regulators have acted, or failed to act, against greenwashing, including post-October 2024 CCPA actions and the practical enforcement record of SEBI's sustainability disclosure regime.

This study responds to these gaps by situating greenwashing at the intersection of company law, securities disclosure and consumer protection. It maps duties and liability pathways with particular attention to directors' duties, assesses how regulatory fragmentation and assurance deficits shape enforceability and draws on comparative insights to propose an integrated liability framework for deterring misleading environmental claims.

1.5 RESEARCH QUESTIONS

4. What is greenwashing, how has it evolved and what are its consequences?

5. What are the structural limitations of consumer protection and advertising law in addressing greenwashing and what legal pathways exist through corporate governance?

6. What are the jurisprudential foundations of corporate responsibility that justify treating greenwashing as a failure of corporate accountability?

7. What duties of directors, disclosure obligations and assurance requirements, under Indian company and securities law, can ground liability for misleading environmental claims?

8. What comparative regulatory models and enforcement techniques have emerged in other jurisdictions to control greenwashing and what design lessons do they offer?

9. How do fragmentation, overlap, weak coordination and limited enforcement in India's regulatory ecosystem, impede accountability for greenwashing?

10. What legal and policy recommendations can create an integrated liability framework that holds corporations accountable for misleading environmental claims?

1.6 HYPOTHESES

11. Greenwashing in India is primarily a consequence of weak corporate governance and the limited operationalisation of board-level environmental responsibility.

12. The existing legal framework does not impose sufficiently clear, stringent and deterrent liability for misleading environmental disclosures, thereby enabling corporations to avoid meaningful accountability.

13. In addressing the issue of greenwashing, the present legal mechanism involving different regulatory bodies is inchoate and incomplete.

1.7 RESEARCH METHODOLOGY

This study adopts a doctrinal, analytical and comparative approach in research. This method is suited to this research because the central inquiry of this research relates to the adequacy of existing legal provisions in combatting misleading environmental claims in India. A doctrinal approach enables the researcher to do a critical evaluation and offer normative recommendations grounded in established jurisprudential reasoning and international best practices.

The researcher referred to primary legislations and regulations from Indian as well as other international jurisdictions. Also, reports from international organisations including the United Nations, OECD, European Securities and Markets Authority (ESMA), TerraChoice, Corporate Climate Responsibility Monitor and Zero Carbon Analytics have been utilized to reach definitive findings. Secondary sources such as relevant books, peer-reviewed journal articles, legal commentaries have also been referred.

The study employs a range of specific doctrinal techniques:

Statutory Interpretation: The analysis focusses on relevant sections of the relevant laws, i.e. the Companies Act, 2013; the Consumer Protection Act, 2019; and the SEBI BRSR Regulations. The analysis includes textual, contextual, purposive and comparative reading of these provisions.

Jurisprudential and Theoretical Analysis: The study applies Hohfeldian theoretical framework to decompose the abstract concept of "corporate responsibility" into precise legal relations, rights, duties and liabilities. This approach identifies with specificity, where legal duties exist regarding environmental claims, who holds correlative rights and the boundaries of managerial privilege. The study further draws upon principal-agent theory to analyse information asymmetry between corporate management (agents) and stakeholders (principals) as a structural driver of greenwashing. Further, the judicially developed environmetal doctrines like Public Trust, Polluter Pays, Precautionary Principle, etc. have guided the research.

Comparative Legal Analysis: The study undertakes a comparative study of anti-greenwashing regulatory approaches across multiple jurisdictions. The European Union (Corporate Sustainability Reporting Directive, Green Claims Directive, Empowering Consumers for the Green Transition Directive), the United States (SEC climate disclosure rules, FTC Green Guides), the United Kingdom (FCA Anti-Greenwashing Rule, CMA Green Claims Code) and additional jurisdictions including Canada, Australia and selected emerging economies are examined. The comparison is structured around key regulatory design variables: scope of application, substantiation and verification requirements, assurance standards (limited versus reasonable assurance), penalty architecture, director and officer liability mechanisms and enforcement practice.

Critical Regulatory Assessment: The study critically evaluates the coherence, adequacy and effectiveness of India's multi-layered regulatory ecosystem for greenwashing. This involves mapping the jurisdictional boundaries and overlaps between corporate governance regulation (MCA/Companies Act), securities disclosure regulation (SEBI BRSR/BRSR Core), consumer protection and advertising regulation (CCPA Guidelines, ASCI Guidelines), National Green Tribunal Act and sector-specific frameworks (FSSAI, BIS Eco Mark).

1.8 SCOPE AND LIMITATIONS

Scope

The scope of this research is to examine the effectiveness of the legal provisions that govern the practice of misleading environmental claims in India, as applicable to Indian companies. This study investigates the constitutional bedrock of environmental accountability in India and focusses on the intersection of corporate governance law, securities disclosure regulations and consumer protection law. The study begins by tracing the evolution and taxonomy of greenwashing and applies jurisprudential theories to decompose fiduciary duties of directors towards stakeholders. The study conducts a comparative analysis with global jurisdictions, including the EU, US and UK, to derive best practices for regulatory reform, to curb misleading environmental claims in India.

Limitations

The study is subject to limitations inherent in a rapidly evolving regulatory landscape, reflecting the legal position as of December 2025. It excludes detailed sector-specific regulations apart from food sector and FSSAI and relies on illustrative industry examples rather than comprehensive sectoral deep-dives. Furthermore, the analysis is constrained by limited judicial precedent in the relevant field and a lack of enforcement data regarding corporate greenwashing in India. The research relies on secondary data and published reports.

1.9 CHAPTERISATION SCHEME

Chapter 1: Introduction

This chapter starts with highlighting the peril of greenwashing and its systemic legal implications for corporate accountability. It lists down the core research problem, research questions, objectives and hypothesis. The chapter lays the foundation for the study as a critical examination of the interplay between corporate governance statutes, securities disclosure norms and consumer protection laws in addressing deceptive environmental claims.

Chapter 2: Conceptualizing Greenwashing And Corporate Governance Intervention

This chapter provides the thesis's conceptual foundation. It traces the origins, evolution and multidimensional character of greenwashing and advances the core claim that greenwashing is not merely marketing malpractice but a systemic corporate-governance failure.

It begins with the genesis and evolution of the term "greenwashing", starting with Jay Westerveld's 1986 observation of hotels framing cost-cutting as environmental concern, tracing its academic consolidation in the 2000s and 2010s and concluding with its contemporary status as a pervasive phenomenon. It then maps the definitional landscape across scholarly, regulatory and institutional sources (including Greenpeace, ESMA and academic formulations).

The chapter then explains why greenwashing persists by applying four theoretical frameworks. Legitimacy theory shows how firms use symbolic environmental actions, such as eco-labels, green buildings and sustainability reports, to maintain a social licence to operate without corresponding substantive change. Stakeholder theory demonstrates how rising pressure from consumers, investors, regulators and NGOs can incentivise both genuine greening and deceptive signalling and how stakeholder vulnerability varies across groups. Decoupling theory provides the analytical centre: greenwashing is the gap between stated environmental commitments and actual performance, sustained through selective disclosure, fuzzy reporting and executional greenwashing that relies on visual and rhetorical cues rather than explicit falsehoods. Institutional theory explains the enabling conditions, including weak or unstandardised regulation, uneven enforcement capacity across jurisdictions and institutional isomorphism, that allow greenwashing to flourish.

Building on this foundation, the chapter comprehensively develops a typology of greenwashing at three levels; at the product level, at the corporate level and at the ESG and financial disclosure level.

The chapter then comprehensively analyses consequences beyond consumer deception. The final and doctrinally most significant section explains why consumer protection law alone remains structurally insufficient, despite the Consumer Protection Act, 2019 and the CCPA Guidelines for Prevention and Regulation of Greenwashing, 2024. The chapter closes by defining four terms. These are liability, responsibility, answerability and enforceability. These terms structure the doctrinal analysis in later chapters.

Chapter 3: Greenwashing: Corporate Responsibility And Accountability

This chapter sets the theoretical and jurisprudential foundations of corporate responsibility and accountability and tests whether existing legal mechanisms, especially fiduciary duties, can impose enforceable liability for greenwashing.

It begins by analysing five theories of corporate personality and their implications for environmental accountability. Fiction Theory (Savigny, Salmond) treats the corporation as state-created, empowering the state to impose environmental responsibilities. Realist Theory (Gierke, Maitland) offers the strongest foundation: if the corporation is a real social unit, environmental claims generate genuine legal relations and greenwashing can be framed as breach of duties flowing from corporate existence. Purpose Theory (Brinz) links personality to social purpose and raises whether Parliament intended environmental protection to be constitutive of the Indian corporation under Section 166(2). Stakeholder Theory (Freeman, 1984) supports Section 166(2)'s pluralistic beneficiary framework and raises whether environmental stakeholders hold enforceable correlative rights. Contractual Theory's "nexus of contracts" focus on shareholder profit maximisation meets a statutory limit: Section 166(2) legislatively overrides it by requiring directors to act "for the protection of environment" alongside shareholder interests. The synthesis places Indian corporate law closest to a Realist–Stakeholder position.

The chapter then traces the historical evolution of corporate social obligations to answer a focused interpretive question: is Section 166(2)'s environmental mandate a novel imposition, or a restoration of historically embedded expectations.

Next, it applies Hohfeld's framework to disaggregate "corporate responsibility" into relational legal positions (claim-right/duty, privilege/no-right, power/liability, immunity/disability). The Hohfeldian analysis is then applied to Greenwashing. The analysis then uses principal–agent theory to explain persistence of Greenwashing despite formal duties.

It critically evaluates India's shift from voluntary CSR (Section 135, Companies Act, 2013) to mandatory ESG disclosures under SEBI's BRSR. The chapter then tests BRSR against three accountability conditions. These are independent reasonable assurance, integrated cross-jurisdictional enforcement and proportionate penalties with personal director liability. It finds the first only partially and prospectively satisfied and the second and third unsatisfied.

The final and doctrinally most significant section asks whether fiduciary duties under Section 166(2) can realistically ground director liability for greenwashing. The chapter concludes that Section 166(2) is textually strong and constitutionally anchored, but has largely remained unenforceable in practice.

Chapter 4: Prevention Of Greenwashing: International Perspective

This chapter surveys how major jurisdictions are moving from voluntary guidance to hard-law controls on environmental claims and sustainability disclosures. Across developed and developing systems, a common direction emerges: mandatory reporting, third-party assurance, stronger penalties and (in some systems) personal director/officer exposure. At the same time, enforcement capacity, coordination and consistency remain uneven.

The chapter first sets the technical baseline through international normative frameworks, such as ISO 14021. Also, at the multilateral level, the UN High-Level Expert Group's COP27 "Integrity Matters" Report recommendations tighten expectations for net-zero claims (interim targets, transition plans, Scope 1–3 coverage, third-party verification and alignment between lobbying and net-zero commitments), influencing the design of EU and UK reporting regimes and effectively shifting the evidentiary burden toward reporting entities.

The comparative study begins with the European Union's integrated approach across three instruments. The CSRD, the Green Claims Directive and the ECGT Directive. The United States largely illustrates institutional fragmentation and political vulnerability. The United Kingdom combines prescriptive financial regulation with expanded consumer-law deterrence. The chapter then traces few other developed jurisdictions best practices.

Developing-country frameworks on the other hand, show mixed maturity. Some systems combine self-regulation with statutory penalties (e.g., Brazil's CONAR with consumer-law sanctions), while others consider criminalisation or burden-shifting (e.g., proposals in Mexico and Chile). Regional taxonomies (e.g., the ASEAN "traffic light" model) and sector-specific enforcement powers (e.g., Singapore MAS sanctions for false environmental claims affecting securities transactions) illustrate that enforcement design is increasingly diverse, not uniformly weak.

The chapter then foregrounds assurance as a practical anti-greenwashing lever in corporate reporting. A doctrinal section maps the expansion and fragmentation of personal director liability across jurisdictions. The UK offers multiple enforcement pathways (fiduciary duty claims, derivative actions, misrepresentation and potential criminal exposure), the US securities pathway requires scienter under Rule 10b-5 and EU member states rely on a mix of CSRD-related accountability and national fraud regimes without harmonised director liability. Developing jurisdictions more often rely on corporate administrative fines. The result is a "liability arbitrage" risk where personal exposure is uneven across corporate structures and geographies.

Finally, the chapter derives certian enforcement best practices against misleading environmental claims.

Chapter 5: Indian Regulatory Ecosystem To Prevent Greenwashing

Chapter 5 provides a doctrinal analysis of India's anti-greenwashing framework and argues that the failure is primarily one of *architecture* (fragmented mandates, weak coordination and scale-blind sanctions), not of substantive law. It applies a four-part doctrinal method comprising descriptive (what law provides), interpretive (what it means in the greenwashing context), critical (where tensions and gaps lie) and normative (what law should provide) and classifies each gap as a legislative lacuna, an intentional policy silence, or an interpretive ambiguity to identify the appropriate remedy (judicial interpretation, regulatory action, or legislative amendment).

It first traces the constitutional and jurisprudential foundations of environmental accountability in India. Then it maps a three-pillar regulatory ecosystem against Greenwashing in India. **Consumer protection** pillar operates through the Consumer Protection Act, 2019 (unfair trade practices, misleading advertisements and information rights), the CCPA, consumer commissions and ASCI.

Securities and finance regulation is anchored in SEBI's investor-protection mandate, operationalised through BRSR, enhanced BRSR Core/Industry Standards, ESGlabelled debt rules and enforcement via the PFUTP Regulations. The chapter also documents regulatory backsliding by SEBI in this regard.

Corporate governance is analysed through the MCA and Section 166(2)'s "protection of environment" duty, read alongside related Companies Act provisions and intersecting SEBI/SAT and environmental-law pathways, including NGT precedents such as *LG Polymers* and *Volkswagen India*.

Beyond the pillars, the chapter integrates complementary regimes: EPA 1986; the NGT's mandate alongside the NGT's jurisdictional limitation; FSSAI's advertising/claims and organic certification rules; BIS Ecomark for third-party verification; and indirect IP tools under the Trade Marks Act, 1999.

The critical analysis then isolates five interconnected systemic gaps. The chapter concludes that India's substantive tools are often sufficient in isolation, but the system design prevents them from producing reliable accountability, providing the doctrinal basis for the reform proposals in Chapter 6.

Chapter 6: Suggestions and Recommendations

This chapter concludes the research by summarising the key findings. It elaborates on testing of the hypothesis. It also provides broad suggestions that will help improve the Indian regulatory regime to combat Greenwashing effectively. Thereafter, it has given pinpointed, sectoral and specific legislative amendments as recommendations. Thus, the study gives a basis for effective implementation roadmap for an anti-greenwashing regime.